

Mutual Fund Policy

PRODUCT SUMMARY (FOR ADVISORY SYSTEMS)

Product Type: Mutual Fund (MF) **Primary Purpose:** Investor-first market-linked growth through pooled professional management

Risk Level:

- **Low to Moderate:** Overnight, Liquid, and Corporate Bond Funds
- **Balanced/Moderate:** Hybrid Funds and Balanced Advantage (Dynamic) Funds
- **High:** Equity Schemes including Large, Mid, Small, and Multi-Cap Funds

Suitable For:

- **Long-term wealth creation:** Equity schemes targeted for long-term horizons
- **Regular cash flows:** Systematic Withdrawal Plans (SWP) for retirees
- **Tax Efficiency:** Equity Linked Savings Schemes (ELSS) under Section 80C

Not Suitable For:

- **Guaranteed Return Seekers:** Returns are market-linked and never guaranteed
- **Capital Protection Seekers:** Investments carry risk, including possible loss of principal

Key Risks:

- **Market Volatility:** Fluctuations based on market valuations and economic shifts
- **Interest Rate Risk:** Specifically impacting Gilt and Debt funds
- **Concentration Risk:** Risk arising from high exposure to a single AMC or sector

Advisory Restrictions:

- **Strict Suitability:** RMs cannot recommend products with a Risk-o-meter higher than the client's profile
- **No Promised Returns:** Staff are prohibited from guaranteeing or implying fixed returns

- **Standard Disclosure:** All advice must feature the mandatory SEBI risk warning

1. Introduction and Scope

This policy governs the sale, advisory, and post-transaction services for all Mutual Fund (MF) products distributed through the Bank. It applies to all Relationship Managers (RMs), Investment Counselors (ICs), and Branch Staff. The core objective is to ensure "Investor First" principles, prioritizing suitability over sales targets.

2. Classification of Authorized Mutual Fund Products

The Bank shall only distribute schemes categorized by SEBI under the following groups. Any "New Fund Offer" (NFO) must be vetted by the Internal Product Committee before being offered to clients.

2.1 Equity Schemes (High Risk)

- **Large Cap Funds:** Focus on top 100 stocks. Stable growth.
- **Mid & Small Cap:** High volatility, high growth potential for long-term horizons.
- **Multi-Cap/Flexi-Cap:** Diversified across market capitalizations.
- **ELSS:** Tax-saving funds under Section 80C with a 3-year lock-in.

2.2 Debt Schemes (Low to Moderate Risk)

- **Overnight/Liquid Funds:** High liquidity, capital preservation.
- **Corporate Bond Funds:** High-quality corporate debt exposure.
- **Gilt Funds:** Investing in Sovereign Securities; subject to interest rate fluctuations.

2.3 Hybrid Schemes (Balanced Risk)

- **Aggressive Hybrid:** 65-80% Equity.
- **Balanced Advantage (Dynamic):** Shifts between Equity and Debt based on market valuations.

- **Arbitrage Funds:** Low-risk funds exploiting price differentials in cash and futures markets.

3. Eligibility and KYC (Know Your Customer) Norms

In compliance with the **Prevention of Money Laundering Act (PMLA)**:

- **KYC Status:** No transaction shall be processed unless the investor is "KYC Compliant" in the KRA system.
- **PAN:** A valid PAN is mandatory for all investments.
- **In-Person Verification (IPV):** Mandatory for all new-to-bank clients.
- **Foreign Account Tax Compliance Act (FATCA):** Mandatory declaration for all clients, especially NRIs, to ensure compliance with global tax reporting.

4. Investment Modalities

4.1 Systematic Investment Plan (SIP)

SIPs are the preferred mode for retail investors to benefit from Rupee Cost Averaging.

- **Minimum SIP:** ₹500 (or as per Scheme Information Document).
- **Maximum SIP:** No upper limit, subject to the client's documented income profile.

4.2 Lump-sum Investments

- **Entry Strategy:** For amounts exceeding ₹25 Lakhs in Equity, the RM must provide a written rationale for why a lump-sum is preferred over a Systematic Transfer Plan (STP).

4.3 Systematic Transfer Plan (STP) & Withdrawal Plan (SWP)

- **STP:** Recommended for moving funds from Debt to Equity to mitigate market timing risk.
- **SWP:** Recommended for clients seeking regular cash flows (e.g., retirees) in a tax-efficient manner compared to dividends.

5. Risk Profiling and Product Suitability

Every client must complete a **Risk Profile Questionnaire (RPQ)** before any recommendation.

5.1 Suitability Matrix

Client Risk Category	Recommended Asset Mix	Max Equity Exposure
Conservative	Liquid, Ultra-Short Debt	10%
Moderate	Debt, Hybrid, Large Cap	40%
Aggressive	Mid/Small Cap, Thematic	100%

Mandatory Rule: RMs are strictly prohibited from recommending a product where the scheme's Risk-o-meter is higher than the client's assessed risk profile.

6. Portfolio Diversification Guidelines

To prevent concentration risk, the Bank enforces the following "Internal Exposure Limits":

1. **AMC Concentration:** No more than 30% of a client's portfolio shall be invested in schemes of a single Asset Management Company (AMC).
2. **Sectoral Concentration:** Exposure to Sectoral/Thematic funds (e.g., Technology or Infrastructure) is capped at 15% of the total equity portfolio.
3. **Security Overlap:** RMs must use portfolio analyzers to ensure that different equity funds in a client's portfolio do not hold the same top 10 underlying stocks.

7. Monitoring, Review, and Rebalancing

- **Quarterly Reviews:** All investment portfolios must be reviewed against their respective benchmarks (e.g., Nifty 50, CRISIL Debt Index).
- **Rebalancing Trigger:** If market volatility causes the equity-to-debt ratio to drift by more than **+/- 10%** from the target allocation, the RM must suggest a rebalancing trade.

- **Underperformance Flag:** If a fund stays in the bottom quartile of its category for 4 consecutive quarters, it must be put on a "Watchlist," and an exit strategy must be discussed with the client.

8. Roles and Responsibilities of Relationship Managers (RMs)

RMs are the primary fiduciaries in the client interaction process.

- **Certification:** Every RM must hold a valid **NISM Series V-A: Mutual Fund Distributors** certification.
- **Documentation:** RMs must maintain "Meeting Minutes" for every advisory session, documenting why a specific fund was suggested.
- **Transparency:** RMs must disclose the commission (Trail/Upfront) the Bank earns from the recommended schemes.

9. Prohibited Practices (Code of Conduct)

To maintain regulatory integrity, the following are strictly prohibited:

1. **Guaranteed Returns:** No staff shall guarantee or imply fixed returns.
2. **Churning:** Moving a client's money between funds solely to generate commissions or meet targets is a terminable offense.
3. **Rebating:** Offering any form of "kickback" or commission sharing with the client is illegal.
4. **Mis-selling:** Recommending high-risk products to senior citizens or conservative investors to achieve sales goals.

10. Compliance, Audit, and Record-Keeping

- **Retention:** All physical and digital records (application forms, KYC, RPQs, and suitability reports) must be preserved for **8 years**.

- **Audit Trail:** The Compliance department shall conduct "Mystery Shopping" and "Call Audits" to ensure RMs are not making false promises.
- **Grievance Redressal:** Any client complaint must be acknowledged within 48 hours and resolved within 30 days. Unresolved issues must be escalated to the **SEBI SCORES** portal.

11. SEBI-Mandated Risk Disclosures

All communication, including emails, brochures, and transaction receipts, must prominently feature:

"Mutual Fund investments are subject to market risks, read all scheme related documents carefully."

11.1 Performance Disclosures

When presenting performance, RMs must show:

- Returns for 1, 3, and 5 years against the benchmark.
- The fact that **"Past performance is not an indicator of future results."**

12. Standard SEBI-Compliant Banking Disclaimer

The Bank acts as a distributor of Mutual Fund products and receives commission from AMCs. These products are NOT bank deposits and are NOT insured by the DICGC. They carry investment risks, including the possible loss of principal. The Bank does not guarantee any returns. Clients are advised to read the Scheme Information Document (SID) and Key Information Memorandum (KIM) before investing. Tax implications mentioned are based on current laws and are subject to change.